



Friday, 26 June 2026

Daily Market Overview

Markets

- The **ECB's annual forum on central banking** takes place next week. **From June 29th to July 1st**, the leading economic and monetary voices will gather in the Portuguese Sintra. This year's gathering centers around shaping Europe's future: from innovation over growth to stability. The forum ends with **a panel discussion starring ECB President Lagarde, Fed Chair Warsh, BoE governor Bailey and BoC leader Macklem**. The ECB's Sintra forum is gradually turning into **a European equivalent of the Fed's Jackson Hole symposium** which traditionally marks the end of Summer holidays. So far, it didn't produce the same groundbreaking moments though like for example when previous Fed Chair Bernanke signaled Quantitative Easing (2010-2012) or when Fed Chair Powell introduced average inflation targeting (2020) and later buried it again (2025). By far the most decisive ECB shift – Draghi's whatever it takes – came in a July 2012 London speech while the inaugural Sintra forum only took place in 2014. Over the past years, **Sintra become more synonym of evolution rather than revolution**. The biggest shift has been the one from conducting monetary policy in a demand-driven, low inflation environment to **entering a supply-driven, above target inflation environment which drifts from shock to shock and becomes more uncertain**. The ECB's reaction function changed over the years, making it **more trigger-happy** in case of upward deviations from target: **from de facto asymmetric to fully symmetric**. President Lagarde clearly set it out at this year's ECB and its watcher's conference, culminating in **a June rate hike and continued vigilance**. In the new set-up, **economic modelling plays second fiddle to things like risk management and data dependence**. Come to think of it, last year's updated strategy assessment, presented in Sintra, is probably the closest thing to a pivotal decision/announcement at the annual gathering. Other emerging views/acknowledgements over the past years have been **a return to "unusual" policy cycles, more divergence between global central banks and a continued cry for help from the fiscal side and structural reforms**. Next week, we think the ECB will **embed a higher-for-longer message** in its guidance with **the neutral rate potentially being an attention point**. ECB chief economist Lane earlier this month suggested that top-end forecasts of the theoretical concept are 2.5% rather than 2.25%. Structural themes, based on scheduled presentations, include productivity and growth constraints, AI and financial stability and geopolitics.

News & Views

- The **ECB's May consumer expectations survey** showed consumer perceptions of inflation over the past 12 months unchanged at 4%. **Expectations for inflation three and five years ahead also remained unchanged at 2.9% and 2.4% respectively. Expectations for inflation over the next 12 months decreased to 3.5% from 4%**. Uncertainty about inflation expectations over the next 12 months decreased but remained at a higher level than before the start of the war in the Middle East. Regarding income and consumption, consumers' nominal income growth expectations over the next 12 months increased to 1%, from 0.8%. Expected nominal spending growth decreased to 3.8%, from 4.3%. Expectations for economic growth for the next 12 months became less negative from -2.2% in April to -1.7% in May. Expectations for the unemployment rate rose further to 11.3% from 11.2%. Consumers continue to expect the future unemployment rate to be slightly higher than the perceived current unemployment rate (10.7%), suggesting a broadly stable labour market outlook. Consumers expect the price of their home to increase 3.6% over the next 12 months (was 3.7%) and see the mortgage interest rate unchanged at 4.9%.
- Hungarian Prime Minister Magyar** held talks with Eurogroup president Pierrakakis. After the meeting, Magyar indicated that **he considered it realistic for the country to meet the Maastricht Convergence criteria on inflation, public debt and the budget deficit by 2030**. Hungary currently meets none of the criteria. The Hungarian PM admitted that especially reducing the public debt would be difficult. Hungarian Finance Minister Karman indicated that the government will publish **an amended medium-term fiscal plan** later this year detailing the budgetary and economic policy measures to meet the euro entry criteria. After a strong run since earlier this year, the forint this week lost some modest ground. The National bank of Hungary on Tuesday cut its policy rate by 25 bps and indicated more easing to follow at the policy meetings over summer. At EUR/HUF 354, the forint currently trades slightly off the peak levels below EUR/HUF 349 touched 10 days ago.

Graphs & Table



EMU 2-y swap rate heading for 2.7/2.6% support area going into Sintra ECB forum.



Brent oil fully reverses post-war rally even as incidents continue



EUR/HUF: forint holding strong as government repeats its intention to meet Maastricht criteria by 2030.



S&P 500: momentum stocks struggle as investors ponder (tech) valuations

Data source: Bloomberg

German yield	td	-1d	US yield	td	-1d	Stocks	td	-1d
2	2,52	-0,01	2	4,09	-0,03	DJ euro-50	6195,2	-72,33
5	2,59	0,00	5	4,15	-0,02	DAX	24602,19	-392,64
10	2,86	0,00	10	4,39	0,00	S&P 500	7312,72	-44,77
30	3,42	0,02	30	4,88	0,02	Nikkei 225	69360,88	-3005,46
Spread vs GE (bps)	td	-1d	Currencies	td	-1d	Commodities	td	-1d
BE 10y	57	0,90	EUR/USD	1,1423	0,0053	CRB	356,05	0,00
FR 10y	78	0,90	EUR/GBP	0,8642	0,0023	Gold	4070,50	22,90
IT 10y	74	0,50	USD/JPY	161,65	-0,1400	Brent	72,80	-2,46

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